

25VECV00117 25VECV00117

County: los-angeles

Division: Civil Law and Motion

Department: O

Hearing date: 2026-07-14

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CO%2C07%2F14%2F2026

Source SHA-256: 4c910efb2db41222aa85a36f04fffbcc7bd755f50dc8125f8e8f4042da8a37d

Case Number: 25VECV00117 Hearing Date: July 14, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

HOMELAND INSURANCE
COMPANY OF NEW YORK,

Plaintiff,

vs.

SRAX, INC. and CHRISTOPHER MIGLINO,

Defendants.

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

CASE NO.: 25VECV00117

ORDER

GRANTING PLAINTIFF'S MOTION FOR SUMMARY ADJUDICATION AS TO DEFENDANT SRAX,
INC., AND DENYING IT AS TO DEFENDANT CHRISTOPHER MIGLINO

I.

BACKGROUND

Plaintiff Homeland

Insurance Company of New York ("HIC") filed this breach of contract action against Defendants SRAX, Inc. ("SRAX") and Christopher Miglino ("Miglino") (jointly, "Defendants"). HIC alleges it issued a policy of professional liability insurance for the period of February 2, 2023, to February 2, 2024 ("Policy") to Defendants. HIC alleges it defended Miglino and fronted all defense costs and settlement payment in the amount of \$759,597.72 despite Defendants' self-insured retention of \$1,000,000.00. HIC alleges pursuant to the Policy, Defendants were contractually obligated to reimburse HIC up the amount of their self-insured retention. Plaintiff alleges Defendants failed to reimburse HIC.

HIC moves for summary
adjudication on its breach of contract claim asserted against Defendants.

II.

PROCEDURAL HISTORY

On January 9,
2025, HIC filed a Complaint.

On March 20,
2025, Defendants filed an Answer.

On April 13,
2026, HIC filed the instant Motion.

On June 24,
2026, the Court granted the parties' stipulation to continue trial and related
dates. Defendants filed an Opposition.

On July 2,
2026, HIC filed a Reply.

III.

LEGAL STANDARD

The purpose
of a motion for summary judgment or summary adjudication "is to provide courts
with a mechanism to cut through the parties' pleadings in order to determine
whether, despite their allegations, trial is in fact necessary to resolve their
dispute." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826,
843.) "Code of Civil Procedure section 437c, subdivision (c), [1] requires
the trial judge to grant summary judgment if all the evidence submitted, and
'all inferences reasonably deducible from the evidence' and uncontradicted by
other inferences or evidence, show that there is no triable issue as to any
material fact and that the moving party is entitled to judgment as a matter of
law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119,
italics in original and quoting Code Civ. Proc., § 437c(c).)

"On a motion

for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact.” (Scalf v. D.B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519.) A plaintiff moving for summary judgment or summary adjudication “has met his or her burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff ... has met that burden, the burden shifts to the defendant ... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant ... shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c(p)(1).) “[A] plaintiff bears the burden of persuasion that ‘each element of’ the ‘cause of action’ in question has been ‘proved,’ and hence that ‘there is no defense’ thereto.” (Aguilar, supra, 25 Cal.4th at p. 850, citing Code Civ. Proc., § 437c, subd. (o)(1).)¿When a plaintiff is the moving party, the plaintiff has a higher burden: it must “present evidence that would require a reasonable trier of fact to find any underlying material fact more likely than not.” (See Aguilar, 25 Cal.4th at 845 (emphasis added).)¿

Courts

“liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.)

Once the

moving party has met its burden, the burden shifts to the opposing party to show via specific facts that a triable issue of material fact exists to a cause of action or a defense thereto. (See Code Civ. Proc. § 437c(o)(2).)

IV.

ANALYSIS

A.

Judicial Notice

The Court

GRANTS Plaintiff’s request for judicial notice of the List of Approved Surplus

Line Insurers (LASLI) for those insurers beginning with the letters H-L published by the California Department of Insurance effective March 6, 2026, and the California Secretary of State Statement of Information for SRAX.

///

B.

Evidentiary Objections

The Court

overrules Plaintiff's evidentiary objections to the Declaration of Christopher Miglino.

C.

Moving Plaintiff's Undisputed Material
Facts

HIC is an

approved surplus lines insurer in the State of California. (See Plf. Undisputed Material Facts ("UMF") Nos. 1, 16.) SRAX is a Delaware Corporation qualified to do business in the State of California. (See UMF Nos. 2, 17.)

HIC issued SRAX

a policy effective February 2, 2023 (the "Policy"). (See id., Nos. 3, 18.)

SRAX is the Organization and Insured under the Policy. (See id., Nos. 4-5.)

Miglino is an Insured Person and Insured under the Policy. (See id., Nos.

19-20.) At no time during the Policy's term was SRAX under the control, supervision or management or otherwise being liquidated under the appointment of a Government Authority such as any receiver, conservator, liquidator, trustee, rehabilitator or similar party (including a creditors committee, if applicable). (See id., Nos. 6, 21.)

On September

29, 2023, Artour Baganov made a claim for money against Miglino and SRAX (the "Baganov Claim"). (See id., Nos. 7, 22.) Defendants tendered the Baganov Claim to HIC for coverage under the Policy on October 2, 2023. (See id., Nos. 8, 23.) HIC accepted the tender of the Baganov Claim by Defendants pursuant to the Policy. (See id., No. 9, 24.) HIC provided coverage to SRAX pursuant to the Insuring Agreements, Section I, Clauses B and C of the Policy. (See id., No. 10.) HIC provided coverage to Miglino, pursuant to the Insuring Agreements, Section I, Clause B of the Policy. (See id.,

No. 25.)

The Baganov Claim against Miglino was subject to a \$1,000,000 self-insured retainer pursuant to Section V, Clause (B) (1) and (2) of the Policy. (See *id.*, Nos. 11, 26.) HIC advanced the Defense Expenses and participated in the mediation of the claim. (See *id.*, No. 12, 27.) The Baganov Claim against Defendants was settled in the sum of \$708,000, with HIC's consent pursuant to the Policy on February 15, 2024. (See *id.*, No. 13, 28.)

Pursuant to Section V B(2) of the Policy, HIC advanced \$708,000 in settlement of the Baganov Claim against the Defendants and \$51,365 in Defenses Expenses. The \$759,365 is within the Self-Insured Retainer of \$1,000,000 for claims insured pursuant to Section I, Insuring Agreements, Clause B of the Policy. (See *id.*, No. 14, 29.) SRAX has failed to reimburse HIC the sum of \$759,365 advanced by HIC in settlement of the Baganov Claim. (See *id.*, No. 15.) Miglino has failed to reimburse HIC the sum of \$759,365 advanced by HIC in settlement of the Baganov Claim. (See *id.*, No. 30.)

D.

Defendants' Additional Material Facts

Section XIII

of the Policy provides: "The Underwriter, however, shall not seek subrogation against an Insured Person under this Policy unless Section IV EXCLUSION (D) of this Policy applies to such Insured Person." (Defs. Additional Material Facts ("AMF") No. 1.) Section V, Exclusion (D) of the Policy covers fraudulent and criminal acts but applies only "if established by a final and non-appealable adjudication adverse to such Insured Person." (See *id.*, No. 2.) There has been no final and non-appealable adjudication that Miglino engaged in any fraudulent or criminal conduct. HIC's Complaint alleges only breach of contract. (See *id.*, No. 3.)

HIC's October

9, 2025, demand letter states "SRAX is contractually obligated to reimburse Homeland in the amount of \$759,597.72"; it does not identify Miglino as personally obligated. (See *id.*, No. 4.)

Section V(B)(2)

states “Notwithstanding paragraph (1) above,” when HIC advances within the SIR because SRAX fails to indemnify an Insured Person, “such Organization shall have a direct and immediate obligation” to reimburse HIC. (See id., No. 5.) The Policy’s recoupment right against Insured Persons is specifically limited by Section XIII. (See id., No. 7.) Karalis’s October 9, 2023, email to Miglino admits HIC believed its agreement to advance defense expenses was pursuant to Section V(B)(2) of the Policy, and that HIC would seek recoupment from SRAX alone. (See id., No. 8.)

E.

Plaintiff’s Motion for Summary

Adjudication is Granted as to SRAX and Denied as to Miglino.

The Complaint

alleges pursuant to the Policy

HIC issued to SRAX, Defendants were contractually obligated pursuant to Section V B(2) of the Policy to reimburse HIC up to the amount of their self-insured retention. (See Compl., ¶¶ 13-14.)

1.

1st COA/Breach of Contract

against Defendants

To state a

cause of action for breach of contract, Plaintiff must be able to establish “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

If

a breach of contract claim “is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference.” (Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 299, 307.)

As an

initial matter, the Court GRANTS HIC’s Motion for Summary Adjudication as to SRAX because there are no triable issues as to any material fact.[2] It is

undisputed SRAX has failed to reimburse HIC the sum of \$759,365 advanced by HIC in settlement of the Baganov Claim pursuant to the Policy. (See UMF Nos. 11-15.) The parties, however, dispute Miglioni's contractual liability to reimburse HIC under the Policy on grounds of contract interpretation.

On

this point, HIC argues the Policy's unambiguous self-insured retention clauses ("SIR" or "retention clauses")^[3] make SRAX and Miglino contractually liable to HIC for the \$759,365 advanced by HIC to settle the Baganov Claim. (See Mot. at 3:1-4.) HIC submits the undisputed material facts that HIC accepted SRAX and Miglino's tender of the Baganov Claim pursuant to the Policy's Insuring Agreements, Section I, B and C. (See UMF Nos. 8, 24.) HIC submits the undisputed material fact that it settled the Baganov Claim by advancing the settlement funds and attorneys fees in the total sum of \$759,365 pursuant to the Policy's retention clauses. (See UMF Nos. 13, 26-29.) HIC submits the undisputed fact that Miglino has failed to reimburse HIC the sum of \$759,365 advanced by HIC in settlement of the Baganov Claim. (See id., No. 30.) Plaintiff submits a copy of the Policy. (See UMF No. 18.)

HIC argues the

retention clauses at Section V B(1) and B(2) provide that Defendants, as "Insureds" under the Policy, are both liable to HIC to the extent HIC agreed to participate in the Baganov Claim otherwise subject to the \$1,000,000 SIR. (See Mot. at 11:5-7.) HIC submits the undisputed facts that SRAX is an "Organization" and "Insured" as defined under the Policy. (See UMF Nos. 4.) HIC submits the undisputed facts that Miglino is an "Insured Person" and "Insured" as defined under the Policy. (See id., Nos. 19-20.) Plaintiff argues B(2) does not conflict with B(1) except that it altered HIC's duties from discretionary to mandatory where SRAX cannot or refuses to indemnify Miglino. (See id., at 11:7-11.) Plaintiff argues when B(2) is invoked, SRAX has a direct and immediate obligation to reimburse HIC for funds HIC expends within the SIR without the need for HIC to demand the funds. Thus, Plaintiff argues, SRAX cannot rely on any basis set forth in its correspondence to Miglino to avoid liability. (See id., at 11:12-15.) Moreover, Plaintiff argues B(2) does not contradict Miglino's independent duty as an Insured under B(1) to reimburse HIC for the funds it advanced to settle the Baganov Claim. (See id., at 11:16-17.)

The Court

finds HIC meets its burden in producing evidence on each element of its breach of contract claim against Miglioni. HIC's evidence shows it issued a Policy to SRAX, advanced \$759,365 to settle a claim pursuant to the retention clauses, and that Miglioni has failed to reimburse HIC in that amount as required by the retention clauses. The burden shifts to Defendants to raise a triable issue.

Defendants

oppose Miglino's liability to HIC on grounds of contract interpretation.

Defendants argue three reasons support the interpretation Miglino isn't liable to HIC for the advanced funds paid to settle the Baganov Claim. First, Plaintiff offers the additional material fact the Policy's subrogation clause at Section XIII bars HIC's entire claim against Miglino because HIC's "recoupment/reimbursement" claim against Miglino is subrogation in substance and effect. (See Opp. at 5:4-22; See AMF Nos. 1-3, 7.) Second, Defendants argue Section V (B)(2) governs over V B(1) and requires only that the "Organization" bear the repayment obligation. (See id., at 6:7-23; AMF Nos. 5.) Third, Defendants submit the additional material fact that HIC stated in a letter "SRAX is contractually obligated to reimburse Homeland in the amount of \$759,597.72." (AMF No. 4.) Defendants also submit the additional material fact HIC's email to Miglino stated HIC would "advance Defense Expenses immediately if the terms of Section V(B)(2) are met, subject to 'recoupment from SRAX.'" (Id., No. 8.)

In reply,

Plaintiff argues the Policy's clear language provides Miglino has a several obligation to repay HIC for the advanced funds. Plaintiff cites to the Policy's Defense and Settlement clauses at Section VII (C) to argue this section, read together with Section V B(2) supports the interpretation Miglino is also liable. Section VII (C) provides "Such advanced payments by the Underwriter shall be repaid to the Underwriter by the Insureds severally according to their respective interests in the event..." (See Reply at 4;12-25.) Plaintiff argues the "direct and immediate" language acts as language of timing and denotes a primary obligation. (See id., at 5:15-26.) Finally, Plaintiff argues Defendants mischaracterize this matter as one of subrogation; Plaintiff is not pursuing a derivative claim against Miglino and thus this is not an action by an insurance company for subrogation. Rather, Plaintiff argues this is an action for reimbursement of advanced payments pursuant to a retention clause. (See id., at 6:4-28.)

The Court will

deny the Motion as to Miglioni. "Although insurance contracts have special features, they are still contracts to which the ordinary rules of contractual

interpretation apply. [Citations.] Thus, the mutual intention of the contracting parties at the time the contract was formed governs. [Citations.] We ascertain that intention solely from the written contract if possible, but also consider the circumstances under which the contract was made and the matter to which it relates. [Citations.] We consider the contract as a whole and interpret the language in context, rather than interpret a provision in isolation. [Citations.] We interpret words in accordance with their ordinary and popular sense, unless the words are used in a technical sense or a special meaning is given to them by usage. [Citations.] [¶] A policy provision is ambiguous if it is capable of two or more reasonable constructions. [Citations.] In determining if a provision is ambiguous, we consider not only the face of the contract but also any extrinsic evidence that supports a reasonable interpretation.” (Employers Reinsurance Co. v. Superior Court (2008) 161 Cal.App.4th 906, 919.)

“Under [general principles of contract law], parol evidence is only admissible if the contract terms are ambiguous. [Citation.] The decision whether to admit parol evidence involves a two-step process. The first is to review the proffered material regarding the parties’ intent to see if the language is ‘reasonably susceptible’ of the interpretation urged by a party. [Citation.] If that question is decided in the affirmative, the extrinsic evidence is then admitted to aid in the second step, which involves actually interpreting the contract.” (Appleton v. Waessil (1994) 27 Cal.App.4th 551, 554.) “As has been recognized by our Supreme Court, it is often impossible for the parties to be precise in expressing their intent in a written document. Therefore, even if the trial court personally finds the document not to be ambiguous, it should preliminarily consider all credible evidence to ascertain the intent of the parties. ‘The test of whether parol evidence is admissible to construe an ambiguity is not whether the language appears to the court to be unambiguous, but whether the evidence presented is relevant to prove a meaning to which the language is ‘reasonably susceptible.’” (Id., 27 Cal.App.4th at 555.)

Although the interpretation of a contract is normally solely a judicial function, where it turns on the credibility of conflicting extrinsic evidence, it is for the trier of fact to determine the meaning of language in the contract. (See, Morey v. Vannucci (1998) 64 Cal.App.4th 904, 912-913.)

The relevant
provisions of the Policy are as follows:

I.
INSURING AGREEMENTS

...

(B) Insured Person Indemnified Liability Coverage:

The Underwriter will pay Loss, on behalf of an Organization, from any Claim first
made against an Insured Person during the Policy Period or applicable Extended Reporting Period for a
Wrongful Act to the extent an Organization pays or indemnifies such Loss.

...

III. DEFINITIONS

...

(U) "Organization" means the Named Organization ...

(M) "Insured" means any Organization and any Insured Person.

(N) "Insured Person" means any natural person who
was, now is or becomes: ...officer or trustee...of an Organization that is a
corporation;

(Q) "Loss" means: (1) for purposes of coverage under Insuring
Agreements (A), (B) and (C), Defense Expenses and the amount which an
Insured is legally obligated to pay as a result of a Claim, including but
not limited to:

...

V. LIMITS OF LIABILITY AND RETENTIONS

...

(B) Retentions

(1) The Underwriter's obligation to pay Loss under this Policy shall only be in excess of the applicable Retention stated in ITEM 4 of the Declarations. Such Retention shall only be reduced by the Insured's payment of Loss otherwise covered under this Policy, and shall be borne by the Insureds uninsured and at their own risk. The Underwriter shall have no obligation to pay all or any portion of the applicable Retention on behalf of any Insured. The Underwriter shall, however, at its sole discretion, have the right and option to do so, in which event the Insureds will repay the Underwriter any amounts so paid.

(2) Notwithstanding paragraph (1) above, if an Organization is permitted or required by law to indemnify an Insured Person for Loss, or to advance Defense Expenses on behalf of an Insured Person, but refuses in writing or fails to do so for any reason other than its Financial Impairment within sixty (60) days of such Insured Person's request, the Underwriter shall pay such Loss or advance such Defense Expenses within the applicable Retention on behalf of such Insured Person, but such Organization shall have a direct and immediate obligation to pay the amount of such Loss paid, and the amount of such Defense Expenses advanced, to the Underwriter up to the applicable Retention.

...

VII.

DEFENSE AND SETTLEMENT

...

(C) Upon written request, the Underwriter will pay Defense Expenses owed under this Policy on a current basis after receipt by the Underwriter of itemized bills for such Defense Expenses. Such advanced payments by the Underwriter shall be repaid to the Underwriter by the Insureds severally according to their respective interests in the event and to the extent that the Insureds shall not be entitled to payment of such Defense Expenses under this Policy. Except for Defense Expenses paid in accordance with this paragraph (C), the , the Underwriter will have no obligation to pay any Loss before the final

disposition of a Claim.

...

XIII. SUBROGATION

In the event of any payment hereunder, the

Underwriter shall be subrogated to the extent of any payment to all of the

rights of recovery of the Insureds... The Underwriter, however, shall not seek subrogation against an Insured Person under this Policy unless Section IV EXCLUSION (D)

of this Policy applies to such Insured Person.

XIV. PRESUMPTIVE

INDEMNIFICATION

The Organization

agrees to indemnify the Insured Persons to the fullest extent permitted by law.

(See

UMF No. 5, Ex. A [emphasis added].)

As an initial

matter, the Court finds the extrinsic evidence offered by Defendants consisting of HIC's correspondence to Defendants in its October 9, 2024, letter and October 9, 2023, email is reasonably susceptible to Defendants' interpretation that HIC's intent was to recoup from SRAX only. (See AMF Nos. 4, 8.) Accordingly, the Court will consider this extrinsic evidence to assist in determining whether the Policy is ambiguous, and if so, what construction should be given to its terms. Next, the Court turns to the provisions of the Policy.

First, the

Court finds the subrogation clause does not aid in interpreting the Policy to determine who HIC recoups their advance payments from. The Court does not find this is a case of subrogation as the facts here are that HIC made advance payments on behalf of SRAX and HIC is now seeking recoupment of that payment pursuant to the retention clauses and SIR. HIC is not seeking to recoup a loss from and that was caused by a third party. "Under the doctrine of equitable subrogation, an insurer that has paid its insured for a loss caused by a third party succeeds to the insured's rights against the third party in the amount paid to the insured." (Dobbas v. Vitas (2011) 191 Cal.App.4th 1442,

1449.) “Subrogation places the insurer in the shoes of its insured to the extent of its payment. [Citation.]” (State Farm General Ins. Co. v. Wells Fargo Bank, N.A. (2006) 143 Cal.App.4th 1098, 1106.) While the insurer by subrogation steps into the shoes of the insured, the insurer cannot bring a subrogation action against its own insured. (See id.) “Additionally, before asserting a subrogation right, an insurer usually must pay the insured, who must have recovered from the loss in full.” (Id. at 1107.) Accordingly, the subrogation clause does not aid in interpreting Section V’s retention clauses which are applicable to the facts of this action.[4]

Turning to the operative retention clauses at Section V, the Court finds B(1) provides that HIC can elect to pay Loss that makes up the applicable Retention on behalf of the Organization and Insured Person, and if it does, the Organization and Insured Person will repay HIC up to the applicable Retention. Section V B(2) provides where the Organization cannot or refuses to advance Defense Expenses on behalf of an Insured Person it is required to indemnify, HIC must advance Defense Expenses to defend and HIC recoups from the Organization.

Next, the Court considers Section VII Defense and Settlement subsection (C) which contains another recoupment provision. Section VII (C) provides where HIC receives a written request and itemized bills and makes advanced payments that the Organization and Insured Person are not entitled to, the Organization and Insured Person must severally repay HIC according to their respective interests in the event. Reading Section V B(2) and VII (C) together, the Court finds the Policy’s written provisions suggest where HIC advances Defense Expenses that Organization and Insured Person are not entitled to and after written request to do so, HIC recoups from Organization and Insured Person severally.

However, the Court finds an ambiguity exists as to whether the recoupment provision at Section VII (C) applies or modifies the Insured’s repayment obligations under Section V B(2) as Defendants’ extrinsic evidence raises a triable issue as to whether HIC intended to recoup from Miglino severally. (See Employers Reins. Co. v. Superior Court, 161 Cal.App.4th 906, 74 Cal.Rptr.3d 733, 744 (2008) [noting that extrinsic evidence can be offered “to expose a latent ambiguity” in a contract term only “when relevant to prove a meaning to which the language of the instrument is reasonably susceptible”].) HIC’s

October 9, 2025, demand letter states “This letter supplements all previous letters and communications concerning this matter.” (AMF No. 4.) Had HIC so intended, their demand letter would have also stated Miglino is contractually obligated to reimburse HIC in the amount of \$759,597.72 and demanded that Miglino preserve all tangible things that may relate to the Loss. Moreover, the October 9, 2023, email only cited Section V B(2) of the Policy, it did not contemplate HIC would advance funds subject to recoupment from Miglino pursuant to Section VII (C). HIC’s failure to name Miglino in the demand letter as an obligor or to cite to its recoupment provision under Section VII (C) creates a triable issue of fact.

Accordingly,
the Court GRANTS Plaintiff’s Motion for Summary Adjudication as to First Cause of Action for Breach of Contract against SRAX and DENIES it as to Miglino.

V.

CONCLUSION

Based on the
foregoing, the Court GRANTS Plaintiff’s Motion for Summary Adjudication as to First Cause of Action for Breach of Contract against SRAX but DENIES it as to Miglino.

IT
IS SO ORDERED.

DATED: July 14, 2026

Hon. Michael R. Amerian

Judge,
Superior Court

[1] All statutory references
are to California codes unless stated otherwise.

[2] Defendants’ only
argument in opposition to the first issue for breach of contract against SRAX is that this Motion’s hearing date is scheduled one day past the cut-off day for hearing an MSA/MSJ based on the then trial date of August 2026. However, the

Court continued the trial date to October 5, 2026, rendering this argument moot.

(See June 24, 2026, Stipulation.)

[3] A SIR is a set dollar

amount a policyholder must pay out of pocket for claims, defense costs, and

settlements before their insurance coverage kicks in. *General Star Natl Ins. Co. v. World Oil Co.* (C.D. Cal. 1997) 973 F. Supp. 943, 948-49, explains

“A SIR is generally a specific amount of loss that is not covered by the policy

but instead must be borne by the insured.” *Pacific Employers Ins. Co.*

v. Domino's Pizza, Inc. (9th Cir. 1998) 144 F.3d 1270, 1276-77 (citing

California law) explains “It is well recognized that self-insurance retentions

are the equivalent to primary liability insurance, and that policies which are

subject to self-insured retentions are ‘excess policies’ which have no duty to

indemnify until the self-insured retention is exhausted.”

[4] Moreover, assuming

arguendo this was an action for subrogation, the provision that HIC shall not

seek subrogation against an Insured Person does not aid Defendants’ position

that Miglino is not liable for repayment of HIC’s advance payments. In this

scenario, HIC would be stepping into the shoes of the Insured Person to seek recoupment

from the Organization since Organization had the obligation to indemnify

Insured Person. Thus, the Court finds unpersuasive Defendants’ argument the

breach of contract claim against Miglino fails on this ground.